



“BANKING HAS TO BE A BORING BUSINESS”

Ajay Kanwal, MD and CEO of Jana Small Finance Bank, on scripting a turnaround, the way ahead, and more

BY ANAND ADHIKARI

PHOTO BY SELVAPRAKASH LAKSHMANAN



AJAY KANWAL decided to take the road less travelled. After a stint at Standard Chartered Bank, he headed to Bengaluru to manage a small micro-finance firm, Janalakshmi Financial Services, which converted to a small finance bank (SFB) in 2017. With over three decades of experience dealing with high-end customers, 58-year-old Kanwal, who is MD & CEO of the SFB, set about laying a new foundation for growth at the loss-making Jana. In a little over six years, those efforts have paid off, with Jana scripting a turnaround. Kanwal talks about how that was achieved and the ambition of converting into a universal bank. Edited excerpts:



What was your first impression of Jana Financial Services?

I was studying India for a long time because it was

of a leading private equity firm, TPG, as an investor was proof that they must have done some due diligence. I was also looking to do something

proach to doing things. I saw a good opportunity in Jana to build a sustainable model at the bottom of the pyramid. There is a huge, addressable

“[Getting] the universal banking licence will help us with liabilities, specifically CASA”

the biggest market for us at Standard Chartered... and my view of India was very positive. After Standard Chartered, I took up an advisory role at Mastercard and TPG. That's how Jana came under my fold as TPG's investee company... The presence

more entrepreneurial. The Jana assignment offered a good opportunity. Large institutions like Standard Chartered and Citibank teach you a lot about processes and governance. They learnt from their mistakes and followed a systematic ap-

proach to doing things. I saw a good opportunity in Jana to build a sustainable model at the bottom of the pyramid. There is a huge, addressable market for a bank like us. Middle India is so big. I believe that banking has to be a boring business. It needs to be a long-term business. We are happy to finance asset creation for businesses, but not consumption for individuals.